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The Review of Financial Studies

1. Institutional Synergies and the Fragility of Loan Funds

Authors: Mustafa Emin, Christopher James, Tao Li, Jing Lu

DOI: [10.1093/rfs/hhag056](https://doi.org/10.1093/rfs/hhag056)

Fields & Theories:

- **Fields:** Financial Intermediation, Asset Pricing, Banking, Syndicated Loans
- **Theories:** Liquidity Provision, Fire Sales, Arbitrage Capital, Institutional Fragility

Abstract:

There are two major institutional investors in the syndicated loan market: collateralized loan obligations (CLOs) and loan mutual funds. CLOs are closed-end funds while loan funds are open-end funds that issue claims that are redeemable on demand. In this paper, we examine whether CLOs provide arbitrage capital that contributes to the resilience of loan funds. We find that CLOs act as shock absorbers, providing liquidity through par-building trades when loan funds experience large outflows. However, CLO-provided liquidity is limited to par build-eligible loans, leading to potential flow-induced fire sales among par build-ineligible loans.

Emin - Institutional Synergies and the Fragility of Loan Funds.pdf

2. All Clear for Takeoff: Evidence from Airports on the Effects of Infrastructure Privatization

Authors: Sabrina T Howell, Yeejin Jang, Hyeik Kim, Michael S Weisbach

DOI: [10.1093/rfs/hhag023](https://doi.org/10.1093/rfs/hhag023)

Fields & Theories:

- **Fields:** Corporate Finance, Private Equity, Public Finance, Infrastructure Finance
- **Theories:** Agency Theory, Privatization, Selection Bias, Ownership Structure

Abstract:

We study privatization and corporate ownership in transportation infrastructure, focusing on global airports. Privatization in general does not improve performance. However, private equity (PE) ownership has strong and persistent positive effects on efficiency, volume, and quality, with positive externalities for the local economy. We address selection using close auctions where PE and non-PE firms bid. PE funds expand physical capacity and encourage larger planes while adding low-cost carriers and international routes. They are especially effective in countries with more corruption or state-owned flag carriers. In contrast, the poorer performance of non-PE acquirers may reflect private benefits and historical state ties.

Howell - All Clear for Takeoff Evidence from Airports on the Effects of Infrastructure Privatization.pdf

3. Corporate Green Pledges

Authors: Michael Bauer, Daniel Huber, Eric Offner, Ole Wilms

DOI: [10.1093/rfs/hhag063](https://doi.org/10.1093/rfs/hhag063)

Fields & Theories:

- **Fields:** ESG/Sustainable Finance, Asset Pricing, Corporate Finance
- **Theories:** Carbon Premium, Signaling Theory, Information Content, Market Efficiency

Abstract:

We build a novel data set of time-stamped corporate decarbonization commitments—green pledges—for U.S. public firms by classifying news articles with large language models and human validation. Firms announcing green pledges tend to be larger and browner than other firms, both within and across industries.

Green pledges significantly raise stock prices, consistent with a reduction in the carbon premium, and predict sizable declines in future carbon emissions and emission intensities. These effects tend to be strongest for firms in brown industries. Green pledges thus appear credible, convey relevant new information to investors, and provide meaningful financial incentives to decarbonize.

Bauer - Corporate Green Pledges.pdf

4. Voting Choice

Authors: Andrey Malenko, Nadya Malenko

DOI: [10.1093/rfs/hhag065](https://doi.org/10.1093/rfs/hhag065)

Fields & Theories:

- **Fields:** Corporate Governance, Financial Intermediation, Asset Management
- **Theories:** Information Aggregation, Agency Theory, Rational Expectations

Abstract:

Traditionally, fund managers cast votes on behalf of fund investors. Recently, there is a shift toward “pass-through voting,” with funds offering investors a choice: delegate votes to the fund or vote themselves. We develop a framework to study the implications of voting choice. While it helps reflect heterogeneous investor preferences, it also shapes the informational content of the vote, and these forces can conflict. When interests are aligned, voting choice improves information aggregation and investor welfare. With preference heterogeneity or costly information, however, it can make investors worse off by weakening informed decision making and fund managers’ incentives to acquire information.

Malenko - Voting Choice.pdf

5. Generative AI and Data Quality: Implications for Productivity, Labor Displacement, and Policy

Authors: Zhifeng Cai

DOI: [10.1093/rfs/hhag064](https://doi.org/10.1093/rfs/hhag064)

Fields & Theories:

- **Fields:** Information Economics, Labor Economics, Public Finance, Innovation and Technology
- **Theories:** Social Learning Model, Grossman-Stiglitz Externality, Data-AI Feedback Loop, General Equilibrium

Abstract:

Generative artificial intelligence (AI) is increasingly consuming and producing huge amounts of data. We propose a social learning model of AI, emphasizing a data-AI feedback loop: data quality affects AI productivity, which influences AI adoption and, consequently, the composition (AI versus human-generated) and quality of future data. Calibrated to evidence on synthetic training loops, the model predicts hump-shaped labor dynamics—short-term displacement that partially reverses as data quality deteriorates. A Grossman–Stiglitz-style externality emerges: AI adopters free-ride on the human-generated actions that supply the novel information on which AI itself relies. In a competitive market, AI should be taxed to correct the data-quality externality; a concentrated AI industry overcorrects, making a subsidy optimal. (JEL O33, D62, D83, J24)

Cai - Generative AI and Data Quality Implications for Productivity, Labor Displacement.pdf

6. Government Intervention in the Financial Market

Authors: Jiang Wang

DOI: [10.1093/rfs/hhag058](https://doi.org/10.1093/rfs/hhag058)

Fields & Theories:

- **Fields:** Financial Regulation, Asset Pricing, Public Finance
- **Theories:** General Equilibrium, Information Asymmetry, Market Incompleteness, Welfare Analysis

Abstract:

Government intervention in the financial market through its own trading fundamentally changes the market's structure, function, and outcome. I develop a general equilibrium framework to study the impact of government trading on investor welfare. I show that with incompleteness and information asymmetry, the market equilibrium is in general suboptimal, and government intervention can potentially improve investor welfare even with no additional information. However, the actual welfare impact of government intervention is sensitive to the details of the economy and the policy design. Popular policy targets such as price stability, market liquidity, and informational efficiency can have different welfare implications.

Wang - Government Intervention in the Financial Market.pdf

7. What Hundreds of Economic News Events Say About Belief Overreaction in the Stock Market

Authors: Francesco Bianchi, Sydney C Ludvigson, Sai Ma

DOI: [10.1093/rfs/hhag062](https://doi.org/10.1093/rfs/hhag062)

Fields & Theories:

- **Fields:** Behavioral Finance, Asset Pricing
- **Theories:** Overreaction, Belief Distortions, Structural Estimation, Machine Learning

Abstract:

We measure the nature and severity of a variety of belief distortions in market reactions to hundreds of economic news events by synthesizing structural estimation with algorithmic machine learning to quantify bias. We find that investors systematically overreact to perceptions about multiple fundamental shocks, a phenomenon we show often dampens rather than amplifies market volatility via a "shock composition effect." Such effects imply that the stock market can underreact to news, even when investors overreact to all shocks.

Bianchi - What Hundreds of Economic News Events Say About Belief Overreaction in the Stock.pdf

8. Sovereign Default and the Decline in Interest Rates*

Authors: Max Miller, James D Paron, Jessica A Wachter

DOI: [10.1093/rfs/hhag025](https://doi.org/10.1093/rfs/hhag025)

Fields & Theories:

- **Fields:** International Finance, Macro-Finance, Sovereign Debt, Asset Pricing
- **Theories:** Sovereign Default Risk, General Equilibrium, Inflation Risk

Abstract:

Sovereign debt yields have undergone a historic decline over the last half century. Standard explanations, including aging populations and increases in asset demand from abroad, encounter difficulties when confronted with the full range of evidence. We propose an explanation based on a decline in inflation and default risk. We show that a model with sovereign default captures the decline in interest rates, the stability of equity valuation ratios, and the reduction in investment and output growth. Calibrations of the model post-COVID suggest that sovereign default risk may have returned.

Miller - Sovereign Default and the Decline in Interest Rates.pdf

9. Pension Liquidity Risk

Authors: Kristy A E Jansen, Sven Klingler, Angelo Ranaldo, Patty Duijm

DOI: [10.1093/rfs/hhag068](https://doi.org/10.1093/rfs/hhag068)

Fields & Theories:

- **Fields:** Financial Intermediation, Pension Funds, Liquidity Risk, Asset Pricing
- **Theories:** Hedging, Margin Calls, Procyclicality, Market Liquidity

Abstract:

Pension funds use interest rate swaps to hedge the interest rate risk arising from their liabilities. Analyzing regulatory data on Dutch pension funds, we show that pension funds with worse funding ratios, indicating greater fragility, use swaps more aggressively. These swap positions expose pension funds to the risk of margin calls, which can exceed 6% of their total assets, when interest rates rise. Pension funds respond to realized margin calls by selling safe government bonds with medium-term maturities. This procyclical selling behavior adversely affects the prices of the sold bonds and thereby exposes pension funds to market liquidity risk.

Jansen - Pension Liquidity Risk.pdf

10. Dollar Asset Holdings and Hedging around the Globe

Authors: Wenxin Du, Amy W Huber

DOI: [10.1093/rfs/hhag067](https://doi.org/10.1093/rfs/hhag067)

Fields & Theories:

- **Fields:** International Finance, Asset Pricing, Institutional Investors, Currency Risk
- **Theories:** Portfolio Choice, Hedging Demand, Intermediary Constraints, Expected Returns

Abstract:

We collect and analyze detailed filings from global institutional investors to estimate foreign investors' U.S. dollar (USD) security holdings and currency hedging. Over two decades, foreign USD holdings grew sixfold, while hedge ratios rose by 15 percentage points after the 2008–2009 crisis. Currency hedging across mutual funds, pensions, and insurance reached \$2 trillion by 2019. Hedging demand varies across investors, currency areas, and banking systems. We show that expected FX returns, beyond variance minimization, drive currency exposure in portfolios. Finally, we demonstrate and quantify how aggregate hedging demand affects hedging costs in the presence of constrained intermediaries.

Du - Dollar Asset Holdings and Hedging around the Globe.pdf

11. Learning by Investing: Entrepreneurial Spillovers from Venture Capital

Authors: Josh Lerner, Jinlin Li, Tong Liu

DOI: [10.1093/rfs/hhag069](https://doi.org/10.1093/rfs/hhag069)

Fields & Theories:

- **Fields:** Venture Capital, Entrepreneurship, Private Equity
- **Theories:** Learning-by-doing, Knowledge Spillovers, Human Capital

Abstract:

This paper studies how investing in venture capital (VC) affects the entrepreneurial outcomes of individual limited partners (LPs). Using comprehensive administrative data on entrepreneurial activities and VC fundraising and investments in China, we find that after investing in a successfully launched VC fund, individual LPs create significantly more ventures than do LPs in funds that failed to launch. These new ventures tend to be high-tech firms with better employment outcomes and more patent activity. Our results suggest that venture investments are a channel through which individual LPs learn. (JEL D83, G23, G24, L25, L26)

12. Stocks as Lotteries? An Experimental Test of Expected Utility versus Behavioral Models

Authors: Brice Corgnet, Yao Thibaut Kpegli, Jacopo Magnani

DOI: [10.1093/rfs/hhag070](https://doi.org/10.1093/rfs/hhag070)

Fields & Theories:

- **Fields:** Behavioral Finance, Asset Pricing, Experimental Finance
- **Theories:** Prospect Theory, Expected Utility Theory, Skewness Pricing, Probability Weighting

Abstract:

Our study provides the first causal test of classical and behavioral asset pricing models that incorporate skewness pricing. In line with these models, our experimental markets show that skewness is systematically priced. Our findings also reveal that positively skewed assets available in small supply exhibit negative expected returns, which is consistent with prospect theory, but not with expected utility models. Furthermore, in line with the mechanism underlying prospect theory, we show that the negative returns of the positively skewed asset are most pronounced during market sessions where traders overweight the low probability of receiving a large payoff. (JEL C92, G10, G40)

Corgnet - Stocks as Lotteries An Experimental Test of Expected Utility versus Behavioral M.pdf

Review of Finance

1. Selling trading advantages in financial markets

Authors: Vincent Glode, Xingtan Zhang

DOI: [10.1093/rof/rfag025](https://doi.org/10.1093/rof/rfag025)

Fields & Theories:

- **Fields:** Market Microstructure, Information Economics
- **Theories:** Endogenous Participation, Negative Externalities, Equilibrium Modeling, Market Structure

Abstract:

We model the feedback loop between the sales of trading advantages (e.g., data or co-location services) and traders' endogenous participation in financial markets. Whereas a trader's benefit from purchasing trading advantages increases with aggregate market participation, the benefit from participating decreases with other traders' purchases of trading advantages that impose negative externalities on counterparties. In equilibrium, sellers of trading advantages (e.g., data providers or securities exchanges) may maximize their profits by prompting inefficiently low market participation and liquidity. We study the consequences of altering the market structure and show that the resulting policy prescriptions contrast sharply with standard models.

Glode - Selling trading advantages in financial markets.pdf

2. Limited attention and dynamically distorted beliefs

Authors: Nikolaus Schweizer, Martijn A de Vries

DOI: [10.1093/rof/rfag021](https://doi.org/10.1093/rof/rfag021)

Fields & Theories:

- **Fields:** Behavioral Finance, Information Economics, Asset Pricing
- **Theories:** Limited Attention, Rank-Dependent Model, Inattentive Learning, Belief Formation

Abstract:

We study the long-term impact of limited attention on belief formation. To this end, we propose a rank-dependent model of inattentive learning, building on principles from the behavioral science literature. We provide explicit formulas for the distorted limiting beliefs and the asymptotic variance that characterizes the speed of learning. In our model, agents who pay excessive attention to extreme observations end up learning a distorted version of the true data-generating process which puts too much weight on the tails of the distribution. We show how the implications of our model can be linked to empirically documented phenomena such as skewness-seeking behavior and the coexistence of over- and underreaction to incoming information depending on the context. Limited attention can thus have long-lasting impacts on the beliefs agents form.

Schweizer - Limited attention and dynamically distorted beliefs.pdf

3. Finance and product markets

Authors: Laurent Frésard, Gordon M Phillips

DOI: [10.1093/rof/rfag017](https://doi.org/10.1093/rof/rfag017)

Fields & Theories:

- **Fields:** Corporate Finance, Industrial Organization
- **Theories:** Product Market Competition, Strategic Interaction, Capital Structure

Abstract:

¹Università della Svizzera italiana (USI), Swiss Finance Institute, Via Buffi 13, Lugano, 6900, Switzerland ²Tuck School of Business at Dartmouth College, The National Bureau of Economic Research, 100 Tuck Drive, Hanover, NH 03755, United States

Frésard - Finance and product markets.pdf

4. Trading in your golden years: the effects of early pension withdrawal on individual investments

Authors: Sumit Agarwal, Allaudeen Hameed, Yuanyuan Pan, Chek Ann Tan

DOI: [10.1093/rof/rfag026](https://doi.org/10.1093/rof/rfag026)

Fields & Theories:

- **Fields:** Household Finance, Behavioral Finance, Pension Finance
- **Theories:** Liquidity Constraints, Portfolio Choice, Behavioral Bias, Causal Inference

Abstract:

We examine the causal effects of a policy allowing early withdrawal of pension funds on individuals' investment behavior. Upon turning 55, eligible individuals may withdraw a portion of their pension savings. Using detailed brokerage data, we find that this liquidity access triggers increased trading of 9–33 percent, especially in riskier, leveraged assets, without improving investment performance. The resulting increase in trading costs and portfolio volatility, particularly among males and lower-income investors, ultimately diminishes retirement wealth.

Agarwal - Trading in your golden years the effects of early pension withdrawal on individu.pdf

5. Information flows and systematic risk

Authors: David Easley, David Michayluk, Maureen O' Hara, Vinay Patel, Tālis J Putniņš

DOI: [10.1093/rof/rfag027](https://doi.org/10.1093/rof/rfag027)

Fields & Theories:

- **Fields:** Asset Pricing, Market Microstructure
- **Theories:** Systematic Risk, Information Flow, Risk Premium, Algorithmic Trading

Abstract:

We propose that the arrival of new information is a source of systematic risk for the holder of a financial security. Using several measures of information flows, we demonstrate that a stock's sensitivity to market-wide information flow is associated with a robust cross-sectional return premium that is distinct from other return premia. We find that the amount of information impounded in prices through trading has increased in recent years, consistent with declining trading costs and the rise of algorithmic trading. We show that the information flows risk premium increases over time.

Easley - Information flows and systematic risk.pdf

6. Is home bias biased? New evidence from the investment fund sector

Authors: Claudia Lambert, Luis Molestina Vivar, Michael Wedow

DOI: [10.1093/rof/rfag028](https://doi.org/10.1093/rof/rfag028)

Fields & Theories:

- **Fields:** Household Finance, International Finance, Asset Pricing, Institutional Investors
- **Theories:** Home Bias, Familiarity Bias, Portfolio Diversification, Information Asymmetry

Abstract:

Investment funds hold disproportionately more domestic than foreign stocks, which has been attributed to stock market development and familiarity factors such as language and distance. However, the literature typically assumes that funds represent investors in their country of incorporation, neglecting the substantial allocation of investors' assets to foreign funds domiciled in financial centers. Using a novel "look-through approach" that combines supervisory holdings statistics with granular security-level fund portfolios, we provide a more accurate view of investors' indirect equity allocations, independent of the fund's legal country of incorporation. Our findings reveal three key insights. First, home bias estimates are significantly smaller than previously documented, reflecting greater geographical portfolio diversification through investment funds. Second, in most euro area countries, home bias is primarily driven by country-specific rather than common-currency preferences. Third, familiarity plays a larger role in cross-border investments for households than for institutional fund investors, highlighting the importance of investor sophistication.

Lambert - Is home bias biased New evidence from the investment fund sector.pdf

7. Local informed investors and bond offerings

Authors: Viet-Dung Doan

DOI: [10.1093/rof/rfag029](https://doi.org/10.1093/rof/rfag029)

Fields & Theories:

- **Fields:** Financial Intermediation, Asset Pricing, Public Finance, Information Asymmetry
- **Theories:** Information Asymmetry, Imperfect Competition, Security Pricing Model, Adverse Selection

Abstract:

This article documents a non-monotonic impact of local mutual funds on the pricing of municipal bond issuance. Offering yield spreads are higher in states where municipal bond funds' headquarters are located, and in states with larger aggregate local fund size. However, controlling for local fund size, yield spreads decrease as the number of local fund families increases. These findings are consistent with a security pricing model with multiple imperfectly informed investors and with the empirical evidence supporting local funds' informational advantage. Specifically, mutual fund trades predict local bonds' credit rating changes.

Journal of Financial and Quantitative Analysis

1. The Effects of Open Banking on FinTech Firms' Dynamics and Funding Structure

Authors: Andrés Alonso-Robisco, José Manuel Carbó, Pedro Jesús Cuadros-Solas, Jara Quintanero

DOI: [10.1017/s0022109026103135](https://doi.org/10.1017/s0022109026103135)

Fields & Theories:

- **Fields:** Financial Intermediation, FinTech, Financial Regulation, Corporate Finance
- **Theories:** Information Asymmetry, Capital Structure, Difference-in-Differences, Data-sharing Regulation

Abstract:

This paper investigates the impact of open banking on the dynamics of fintech firms. Using a unique dataset of Spanish fintech firms from 2014 to 2022, we exploit differential exposure to Europe's open banking regulation between payment-focused fintech firms and other fintech firms. Following the regulation, payment-service fintechs exhibit improved performance and a restructuring of their funding, characterized by reduced reliance on long-term bank debt and increased use of market-based equity. These firms also increase liquidity, reduce labor intensity, raise labor costs, and enhance productivity. These findings provide novel firm-level evidence on the effects of data-sharing regulation in financial markets.

Alonso-Robisco - The Effects of Open Banking on FinTech Firms' Dynamics and Funding Structure.pdf

2. Misconduct and Market Implications of Honest Advisers' Decisions

Authors: Michael Gelman, Amir Shoham

DOI: [10.1017/s0022109026103214](https://doi.org/10.1017/s0022109026103214)

Fields & Theories:

- **Fields:** Financial Intermediation, Household Finance, Labor Economics
- **Theories:** Reputation Theory, Sorting, Information Asymmetry, Signaling

Abstract:

Most financial advisers have no history of misconduct, yet little is known about how honest advisers respond to misconduct at their firms. In this paper, we show that honest advisers are more likely to leave firms experiencing elevated misconduct and transition to firms with lower tolerance for misconduct. We demonstrate that in an industry where reputation and trust are central, affiliation with a firm experiencing higher misconduct generates reputational spillovers. These individual decisions of honest advisers aggregate to the market level, contributing to the sorting of honest (dishonest) advisers into firms that are less (more) tolerant of misconduct.

Gelman - Misconduct and Market Implications of Honest Advisers' Decisions.pdf

3. The Impact of a Principles-Based Approach to Director Gender Diversity

Authors: Tor-Erik Bakke, Laura Casares Field, Hamed Mahmudi, Aazam Virani

DOI: [10.1017/s0022109026103238](https://doi.org/10.1017/s0022109026103238)

Fields & Theories:

- **Fields:** Corporate Governance, Financial Regulation, ESG/Sustainable Finance
- **Theories:** Agency Theory, Signaling Theory, Difference-in-Differences, Event Study

Abstract:

We study the impact of a principles-based regulatory approach to female board representation, requiring firms to disclose a gender diversity policy or explain its absence. Post-regulation, firms respond with more female-friendly disclosures. However, those with less access to female directors often justify their lack of diversity. Although the regulation does not mandate increasing female board representation, the fraction of female directors increases by 38% relative to control groups after the regulation. Investors respond to the disclosures, increasingly engaging firms and voting against boards with low female representation. Firms most likely impacted by the regulation exhibit positive abnormal announcement returns.

* Bakke is at the UIC College of Business Administration, University of Illinois at Chicago. Field is at the Lerner College of Business and Economics, University of Delaware. Mahmudi is at the Lee Business School at University of Nevada Las Vegas. Virani is an independent researcher.

Bakke - The Impact of a Principles-Based Approach to Director Gender Diversity.pdf

4. Continuity and Change on Corporate Boards

Authors: Peter Cziraki, Adriana Z. Robertson

DOI: [10.1017/s002210902610324x](https://doi.org/10.1017/s002210902610324x)

Fields & Theories:

- **Fields:** Corporate Governance, Labor Economics
- **Theories:** Labor Market Dynamics, Board Structure, Intensive and Extensive Margin

Abstract:

The number of women on public company boards has increased dramatically in recent years. We study where these women directors came from and how they were absorbed. Since 2018, women with board experience obtain significantly more board seats than their male counterparts. Women directors are also more likely to have no previous board experience than men, indicating movement on both the intensive and extensive margin. Adding a woman director is associated with a transitory increase in board size roughly one third of the time. This increase is offset when an existing director rolls off, which typically happens within one year.

Cziraki - Continuity and Change on Corporate Boards.pdf

5. Labor Exposure to Climate Risk, Productivity Loss, and Capital Deepening

Authors: Zhanbing Xiao

DOI: [10.1017/s0022109026103251](https://doi.org/10.1017/s0022109026103251)

Fields & Theories:

- **Fields:** Corporate Finance, ESG/Sustainable Finance, Climate Risk
- **Theories:** Capital-Labor Substitution, Production Theory, Financial Constraints

Abstract:

I find that exposed firms address heat challenges by shifting toward more capital-intensive production functions, increasing capital expenditures and R&D expenses, acquiring robotics-related human capital, and developing automation-related technologies. These effects are concentrated among firms facing large long-run temperature increases and among financially unconstrained firms. I further show that reduced labor efficiency relative to capital is one important mechanism underlying capital deepening and related automation investments. Finally, these capital responses mitigate heat-induced productivity losses, and investors appear to value firms' adaptation capacity.

Xiao - Labor Exposure to Climate Risk, Productivity Loss, and Capital Deepening.pdf

6. Estimating the Term Premium: Sample Periods Matter

Authors: Zehao Li

DOI: [10.1017/s0022109026103263](https://doi.org/10.1017/s0022109026103263)

Fields & Theories:

- **Fields:** Asset Pricing, Fixed Income, Monetary Policy, Financial Econometrics
- **Theories:** Affine Term Structure Models, Term Premium, Monetary Policy Transmission

Abstract:

Estimated risk-neutral rates from canonical affine term structure models are highly sensitive to sample periods. For example, the 5-5 forward risk-neutral rate for September 1981 can differ by 4.6 percentage points (98%) depending on whether the sample starts in 1961 or 1981. Additionally, the estimated response of this rate to high-frequency monetary policy shocks varies by a factor of three, even within the same sample for monetary policy transmission regressions. We propose that a shifting endpoint model can mitigate these issues and provide new estimates of the effects of monetary policy shocks on long-term risk-neutral rates.

Li - Estimating the Term Premium Sample Periods Matter.pdf

7. Location, Location, Location: Senate Trading and Seat Proximity

Authors: Dane M. Christensen, Hengda Jin, Beverly R. Walther, Laura A. Wellman

DOI: [10.1017/s0022109026103299](https://doi.org/10.1017/s0022109026103299)

Fields & Theories:

- **Fields:** Financial Regulation, Political Economy, Information Asymmetry
- **Theories:** Information Asymmetry, Social Networks, Private Information

Abstract:

Using the distance between two Senators' desks to capture the proclivity to share information, we find that when two Senators sit closer together in the Senate Chamber, they are more likely to trade stocks in the same industry and earn larger returns, especially when they belong to the same political party. This association varies with Senators' information sources and power, and the scrutiny they face. We perform multiple identification tests to support our inference that Senators share private trading information gleaned from their positions in Congress. Moreover, we provide the first evidence on the career benefits associated with sharing information.

Christensen - Location, Location, Location Senate Trading and Seat Proximity.pdf

8. Macroeconomic Fundamentals and the Shape of Sovereign Credit Risk

Authors: Daniele Bianchi, Teng Jiao

DOI: [10.1017/s0022109026103329](https://doi.org/10.1017/s0022109026103329)

Fields & Theories:

- **Fields:** Sovereign Credit Risk, Asset Pricing, Macro-Finance, International Finance
- **Theories:** Term Structure of Credit Spreads, Non-linear Predictive Modeling, Macroeconomic Fundamentals

Abstract:

Sovereign CDS spreads price the credit risk embedded in government borrowing. We ask how macroeconomic fundamentals predict that risk, and whether a linear mapping from fundamentals to spreads is adequate. Across a large panel of OECD economies, linear methods perform well across countries but lose predictive accuracy after 2022 and fail to capture how spreads vary across maturities. Non-linear methods recover both. While linear forecasts mainly rely on fiscal ratios, non-linear predictions draw on the term-structure slope throughout, inflation during the 2022–2024 monetary tightening, and consumer confidence

during the Eurozone crisis. These predictive relationships hold panel-wide rather than country-by-country.

Bianchi - Macroeconomic Fundamentals and the Shape of Sovereign Credit Risk.pdf

9. Inflation and Corporate Credit Risk: Global Evidence

Authors: Buhui Qiu, Thomas To, Gaiyan Zhang

DOI: [10.1017/s0022109026103305](https://doi.org/10.1017/s0022109026103305)

Fields & Theories:

- **Fields:** Corporate Finance, Credit Risk, Macro-Finance, International Finance
- **Theories:** Debt Rigidity, Operating Rigidity, Monetary Policy Transmission

Abstract:

We provide novel international evidence that inflation is positively associated with corporate credit risk on average. A one-standard-deviation increase in inflation is associated with a 21basis-point increase in next-year CDS spreads. Importantly, this relationship is convex: it is negative or weak at low inflation levels, but is much more positive in high-inflation environments. The positive relation between inflation and credit risk is stronger for firms with greater refinancing vulnerability and more rigid operating cash flows, and in countries with more inflation-responsive monetary regimes and weaker institutional environments. Our findings are consistent with opposing roles for debt rigidity and operating rigidity.

Qiu - Inflation and Corporate Credit Risk Global Evidence.pdf

10. The Risk of Outsourcing: How External Advisors Influence Mutual Fund Performance

Authors: Jung Hoon Lee, Saurin Patel, Shyam Sunder Venkatesan

DOI: [10.1017/s0022109026103287](https://doi.org/10.1017/s0022109026103287)

Fields & Theories:

- **Fields:** Asset Management, Financial Intermediation, Corporate Finance
- **Theories:** Agency Theory, Moral Hazard, Incentive Contracts, Risk-shifting

Abstract:

Mutual fund families increasingly outsource the portfolio management task to external advisors. The high-powered incentive contract offered to external advisors, presumably an optimal outcome, implicitly creates convexity in their payoff. We provide causal evidence that this convexity makes the conditional portfolio choice of outsourced mutual funds about twice as risky as in-house funds, which leads to their underperformance. However, fund families can curb excessive risk-shifting unconditionally by: invoking the reputation of external advisor(s) when marketing the fund (co-branding) and hiring geographically proximate external advisors (co-location). Hiring multiple external advisors simultaneously (co-management) is also effective, specifically when underperforming.

Lee - The Risk of Outsourcing How External Advisors Influence Mutual Fund Performance.pdf

The Journal of Finance

1. Jay R. Ritter

DOI: [10.1111/jofi.70063](https://doi.org/10.1111/jofi.70063)

Fields & Theories:

- **Fields:** Corporate Finance, Financial Economics, History of Economic Thought
- **Theories:** Initial Public Offerings (IPOs), Market Efficiency, Underpricing, Long-run Performance

Abstract:

Jay R. Ritter was born in Milwaukee, Wisconsin, and grew up in the Milwaukee area, Connecticut, and Pennsylvania. He received his AB and AM in economics at the University of Chicago, and after working in the private sector for a year, entered the PhD program in economics at Chicago, which allowed students to focus on financial economics and work with faculty in what is now the Booth School of Business. While a student at Chicago, Jay took courses from, among others, Milton Friedman, Gary Becker, James Heckman, Robert Lucas, Edward Prescott, Myron Scholes, and Eugene Fama. He completed his dissertation under the guidance of Merton Miller and others and received his

Unknown - Jay R. Ritter.pdf

2. M&As, Employee Costs, and Labor Reallocation

Authors: SPYRIDON LAGARAS

DOI: [10.1111/jofi.70065](https://doi.org/10.1111/jofi.70065)

Fields & Theories:

- **Fields:** Corporate Finance, Labor Finance, M&A
- **Theories:** Human Capital Theory, Matching Theory, Firm-Specific Wage Premiums

Abstract:

Mergers are associated with large and persistent earnings declines for incumbent employees in target firms. Linking employer-employee administrative data with information on merger activity in Brazil, I find the negative effects concentrate on employees who exit target firms and reflect displacement in the short run and wage declines in the long run. Low-skilled, managerial, and older employees fare worse. Overall, I conclude that mergers are followed by substantial reallocation costs reflecting losses of firm-specific wage premiums, matching inefficiencies, and industry-specific human capital depreciation, with employees transitioning to lower paying firms considered to be of lower productivity and employment value.

LAGARAS - M&As, Employee Costs, and Labor Reallocation.pdf

3. Do Equity and Options Markets Agree about Volatility?

Authors: CARSTEN H. CHONG, VIKTOR TODOROV

DOI: [10.1111/jofi.70070](https://doi.org/10.1111/jofi.70070)

Fields & Theories:

- **Fields:** Asset Pricing, Derivatives, Market Microstructure
- **Theories:** Pricing Kernel, Arbitrage-Free Pricing, Transaction Costs, ODTE Options

Abstract:

We derive tight pricing kernel restrictions from options with same-day expiration ("ODTEs"). These restrictions concern the volatility of small and frequent asset price moves that the equity and options markets must agree on in a frictionless economy. Their violation leads to pseudo-arbitrage opportunities, characterized by nontrivial reward-to-risk ratios over arbitrarily short horizons and achieved by a combined position in ODTEs and the underlying asset. Empirically, we find no evidence of feasible pseudo-arbitrage opportunities, as transaction costs, estimation risk, and short-term volatility risk prevent investors from taking advantage of small and infrequent disagreements about volatility between equity and options markets.

CHONG - Do Equity and Options Markets Agree about Volatility.pdf

4. The Cross-Section of Household Preferences

Authors: LAURENT E. CALVET, JOHN Y. CAMPBELL, FRANCISCO GOMES, PAOLO SODINI

DOI: [10.1111/jofi.70067](https://doi.org/10.1111/jofi.70067)

Fields & Theories:

- **Fields:** Household Finance, Asset Pricing, Behavioral Finance
- **Theories:** Epstein-Zin Preferences, Risk Aversion, Elasticity of Intertemporal Substitution, Time Preference Rate

Abstract:

This paper estimates the cross-sectional distribution of Epstein-Zin preferences using the wealth and risky portfolio shares of a large panel of Swedish households. We find modestly heterogeneous risk aversion (standard deviation 0.97, median 7.50) and a meaningfully heterogeneous and right-skewed time preference rate (TPR; standard deviation 7.31%, median 4.08%) and elasticity of intertemporal substitution (EIS; standard deviation 3.17, median 0.70). Risk aversion and the EIS are only very weakly negatively correlated. We estimate lower risk aversion for households with riskier labor income, and a higher TPR and lower EIS for households that enter our sample with low wealth.

CALVET - The Cross-Section of Household Preferences.pdf

5. Climate Change, Demand Uncertainty, and Firms' Investments: Evidence from Planned Power Plants

Authors: CHEN LIN, THOMAS SCHMID, MICHAEL S. WEISBACH

DOI: [10.1111/jofi.70071](https://doi.org/10.1111/jofi.70071)

Fields & Theories:

- **Fields:** Corporate Finance, ESG/Sustainable Finance
- **Theories:** Real Options Theory, Demand Uncertainty, Production Flexibility

Abstract:

How does demand uncertainty affect firms' investment decisions? We examine this question in the context of electricity-producing firms' planned investments in new power plants. We measure uncertainty about future electricity demand using plausibly exogenous variation in temperature projections across scientific climate models. The results show that uncertainty increases investment in power plants with flexible production technologies, while reducing investment in less flexible technologies. Overall, the net effect of uncertainty on investment is positive when firms have access to flexible investment opportunities. These findings are consistent with models in which production flexibility shapes the investment response to demand uncertainty.

LIN - Climate Change, Demand Uncertainty, and Firms' Investments Evidence from Planned.pdf

6. Dynamic Self-Fulfilling Fire Sales

Authors: PAYMON KHORRAMI, FERNANDO MENDO

DOI: [10.1111/jofi.70069](https://doi.org/10.1111/jofi.70069)

Fields & Theories:

- **Fields:** Financial Intermediation, Asset Pricing, Financial Stability
- **Theories:** Fire Sales, Self-Fulfilling Prophecies, General Equilibrium, Coordination Failure

Abstract:

Why do fire sales occur if many risks are hedgeable? We study a version of Brunnermeier and Sannikov (2014, American Economic Review 104, 379–421) in which all fundamental risks can be hedged frictionlessly. Our analysis shows that fire sales are inherently self-fulfilling. Fundamental shocks can never cause fire sales, and an efficient, safe equilibrium exists. On the other hand, there exists an equilibrium in which agents coordinate fire sales on nonfundamental shocks. A simple refinement based on vanishingly small perceived fundamental risk eliminates the safe equilibrium and selects the fire-sale equilibrium as the unique outcome.

KHORRAMI - Dynamic Self-Fulfilling Fire Sales.pdf

7. The Rising Tide Lifts Some Interest Rates: Climate Change, Natural Disasters, and Loan Pricing

Authors: RICARDO CORREA, AI HE, CHRISTOPH HERPFER, UGUR LEL

DOI: [10.1111/jofi.70066](https://doi.org/10.1111/jofi.70066)

Fields & Theories:

- **Fields:** Corporate Finance, Banking, ESG/Sustainable Finance, Behavioral Finance
- **Theories:** Salience Bias, Credit Risk, Information Updating, Natural Experiment

Abstract:

Banks adjust loan spreads after observing natural disasters linked to climate change. We isolate this updating process by identifying loans to borrowers at risk of, but not directly affected by, such disasters. Loan spreads for these borrowers spike in both primary and secondary markets, while no such updating occurs for non-climate-related disasters. Evidence suggests a heightened perceived credit risk, which nonetheless cannot fully explain the increase in rates. Taken altogether, increased spreads are explained primarily by salience bias, as they are short-lived and amplified by media attention. This salience impacts financial decisions at bank-dependent firms.

CORREA - The Rising Tide Lifts Some Interest Rates Climate Change, Natural Disasters, and.pdf
